

Unit-2 - Subsidiary Books

* Introduction of Subsidiary Books

↳ original books

1.) Cash Book — { Single column cash book
Double column cash book
Triple column cash book.

2.) Purchase Book → credit

3.) Sales Book → credit

4.) Purchase return Book / Returns outward Book

5.) Sales Return Book / Return inward Book

not imp

6.) Bills Receivable Book → Debtors info

7.) Bills payable Book → Creditors info

8.) Journal proper.

The following ~~are entered in~~ journal proper books.

→ opening Entries - Transfer Entries - Adjusting Entries -

closing Entries.

→ Entries related to rectification of errors - Dishonours

of Bills / Promissory notes

→ Credit purchase / sale of asset - withdrawals of Goods

for personal use.

→ Loss of Goods by theft - Bad debts

→ when goods return to supplier

- Debit note → purchase returns

- Credit note → sales returns

→ when goods return back from customer

* Enter the below transactions in proper subsidiary books
i.e. ~~and~~ sales book, purchase book, sales return and purchase return Books

2011 Oct 1 - Sold goods to William 510/- SB

" " 3 - Bought furniture for cash 500/- X

4 - purchased goods from John 580/- PB

7 - purchased goods from James 250/- PB

8 - Returned goods to James 30/- PR.B

12 - Goods bought for cash 200/- X

14 - Goods sold to Hari 130/- SB

17 - Received goods back from Hari 20/- SRB

28 - Sold goods to David 100/- SB

Ans:

Purchase Book				
Date	Particulars	Inward voice no	LF	Am't (₹)
2011 Oct 4	John			580
" Oct 7	James			250
	Total			830

Sales Book

Date	Particulars	outward NO	L.F	Amt(₹)
2011 oct 1	William			510
" oct 14	Hari			130
" oct 28	David			1000
	Total			1640

Purchase returns Book

Date	Particulars	Debit note	L.F	Amt(₹)
2011 oct 8	James			30/-
	Total			30

Sales returns Book

Date	Particulars	credit note	L.F	Amt(₹)
2011 oct 12	Hari			20
	Total			20

* Record the following transactions in proper subsidiary Books.

- 2013 July 5 - Sold goods to Mr. Y on credit 16000/- SB
- " " 7 - Paid salary in cash 17000/- X
- " " 8 - purchased goods from Mr. Z 14000/- PB
- " " 10 - Returned goods worth 2000/- by Mr. Y SRB
- 16 - Returned goods to Mr. Z 1000/- PRB
- 18 - paid electricity bill 1000/- by cash. X
- 22 - Received 1500/- from tenant. X
- 26 - Purchased goods from Mr. A 26,000/- PB
- 28 - Sold goods to Mr. B 19000/- on credit SB
- 29 - cash sales 12000/- X

Purchase Book

Date	Pasticulars	Inward voice NO	L.F	Amt(₹)
2011 July 8	Mr. Z			14,000
July 26	Mr. A			26,000
	Total			40,000

Sales Book

Date	Pasticulars	Outward NO	L.F	Amt(₹)
2011 July 5	Mr. Y			16,000
July 28	Mr. B			19,000
	Total			35,000

Purchase returns Book

Date	Pasticulars	Debit note	L.F	Amt(₹)
2011 July 16	Mr. Z			1000
	Total			1000

Sales Returns Book

Date	Pasticulars	Credit note	L.F	Amt(₹)
2011 July 10	Mr. Y			2000
	Total			2000

* Following transactions are to be entered in proper subsidiary books.

- 2019 Jan 1 - purchased goods from mahendra of the list price of 40,000/- less 10% trade discount
- " " 5 - Sold goods to mohan for 10,000/-
- " " 6 - returned goods to mahendra at list price of 5000/-
- " " 7 - Thanvesh sent goods for 30,000/-
- " " 8 - Sold goods to hazish for 12,000/-
- " " 10 - Goods returned by hazish 2000/-
- " " 15 - sent goods to mohan 6000/-
- " " 20 - sold goods to seetharam for 8000/-

Purchase Book

Date	particulars	Inward voice no	L.F	Amount(₹)
2019 Jan 1	Mahendra			40,000
	less: 10% trade discount			
	$40000 \times \frac{10}{100} = 4000$			36,000
Jan 7	Thanvesh			30,000
	Total			66,000

Sales Book

Date	particulars	Outward voice no	L.F	Amount(₹)
2019 Jan 5	Mohan			10,000
Jan 8	Hazish			12,000
Jan 15	Mohan			6000
Jan 20	seetharam			8000
	Total			36,000

Purchase Returns Book

Date	Pasticulars	Debit note	LF Amount(₹)
2019 Jan 6	Mahendra 5000		
	$5000 \times \frac{10}{100}$ 500		4500
	Total		4500

Sales returns book

Date	Pasticulars	Credit note	LF Amount(₹)
2019 Jan 10	Harish		2000
	Total		2000

*

2015 Dec 1 - Credit sales 12,000/-

" " 3 - Goods purchased from Govindh 8000/-

" 5 - Good purchased from Raja 4000/-

" 8 - Goods returned to Govindh 2000/-

" 10 - Goods sold to Raja 20,000/-

" 12 - Machinery purchased from Govindh 10,000/-

" 15 - Goods returned by Raja 2000/-

" 18 - Credit purchases 5000/-

" 20 - Return inwards 1000/-

" 25 - Return outwards 500/-

" 28 - Sales 2000/-, purchases 5000/-

" 30 - Goods sold to Govindh 35000/-

Debtor A/C
or
Creditor A/C

Sales Credit A/C
or
Debit A/C
Purchases Debit A/C
or
Creditor A/C

Purchase Book

Date	Particulars	Inward voice NO	L.F	Amount (₹)
2015 Dec 3	Govindh			8000
Dec 5	Raja			4000
Dec 12	Govindh			10,000
Dec 18	Creditor A/c			5000
Dec 20				5000
	Total			27,000 32,000

Sales Book

Date	Particulars	Outward voice NO	L.F	Amount (₹)
2015 Dec 1	Debtor A/c			12000
Dec 10	Raja			20,000
Dec 30	Govindh			35000
Dec 28				2000
	Total			67,000 62,000

Purchase Returns Book

Date	Particulars	Debit Note	L.F	Amount (₹)
2015 Dec 8	Govindh			2000
Dec 25	Debtor A/c Debtor creditor			500
	Total			2500

Sales Returns Book

Date	Particulars	Credit Note	L.F	Amount (₹)
2015 Dec 15	Raja			2000
Dec 20	Debtor A/c Debtor Debtor			1000
	Total			3000

* Cash Book

Cash Book may be a subsidiary book or a ledger account. This Book is prepared to find out closing cash (or) cash at the end.

Cash comes under real account that is debit what comes in, credit what goes out. It means all cash payments will be credited to this account.

Cash Book is classified into 4 types:

1. ^{Simple} ~~single~~ column cashbook. (single column)
2. Double column cashbook. (Cash ^{book} with cash & ^{discount} ~~bank~~ column)
3. Triple column cashbook. (Cash book with cash, discount and bank column)
4. Petty Cash Book

* From the following prepare simple cash Book.

Re	2015 March 1	- Opening Balance of cash 25000/-
Re	" 3	- Sales 40,000/-
X	" 5	- Credit sales 5000/-
Pay	" 8	- Grod purchased from X on cash 12,000/-
Re	" 10	- sale of furniture 5000/-
Pay	" 12	- <u>Drawings</u> 3000/- owned personal use
Pay	" 15	- salaries paid 2000/-, Rent paid 1000/-
Pay	" 18	- Cash Paid to creditors 8000/-
Pay	" 20	- Advertisement 4000/-

- " 26 - Commission received 5000/-
 " 28 - cash collected from Debtors 4000/-
 " 30 - cash paid to X 4000/-

Single column Cash Book

(Receipts)				(Payments)			
Date	particulars	L.F.	Amt(₹)	Date	particulars	L.F.	Amt(₹)
2015 MAR 1	To opening Balance		25,000	MAR 8	By X A/c		12,000
MAR 3	To sales A/c		40,000	MAR 12	By Drawings A/c		3,000
MAR 10	To furniture A/c		5,000	MAR 15	By salaries A/c		2,000
MAR 26	To Commission A/c		5,000	MAR 15	By Rent A/c		1,000
MAR 28	To Debtors A/c		4,000	MAR 18	By Creditors A/c		8,000
				MAR 20	By Advertisement A/c		4,000
				MAR 22	By Machinery A/c		10,000
				MAR 30	By X A/c		4,000
				MAR 31	By Balance c/d		35,000 35,000
			<u>79,000</u>				<u>79,000</u>
APR 1	To Balance b/d		35,000				

- 2019 NOV 1 - started business with cash 50,000/-
 " 3 - cash received from gurunurthy 15,000/-
 " 5 - Insurance paid 5,000/-
 " 8 - purchased furniture 12,000/-
 " 10 - sold goods for cash 20,000/-
 " 15 - purchased goods from murali in cash 18,000/-
 " 20 - purchased stationary 1,200/-
 " 24 - cash paid to sukmini in full settlement of A/c 12,500/-
 " 27 - sold goods to kamal for cash 18,000/-
 " 28 - Paid monthly rent 2,000/-
 " 29 - Paid salary 3,500/-
 " 30 -

B/L - 40,800
 Total - 1,13,000

Dr

Single column cash ~~Book~~ Book

Cr

Date	particulars	LF Amt(₹)	Date	particulars	LF Amt(₹)
2019 NOV 1	To capital A/c	50,000	NOV 5	By Insurance A/c	5,000
NOV 3	To gurunurthy A/c	15,000	NOV 8	By Furniture A/c	12,000
NOV 10	To sales A/c	20,000	NOV 15	By Musali A/c	18,000
NOV 27	To kamal A/c	18,000	NOV 20	By stationery A/c	1,200
			NOV 24	By sukmini ^{full} settlement A/c	12,500
			NOV 28	By rent A/c	2,000
			NOV 29	By salary A/c	3,500
			NOV 30	By Bank A/c	8,000
			NOV 31	By Balance c/d	40,800
		1,03,000			1,03,000
Dec 1	To Balance B/d	40,800			

* Prepare single column Cashbook

Re	2020 Jan 1	- Cash in hand 5100/-
Re	" " 3	- cash sales 5600/-
Re	" " 5	- Received from vinay 800/-
pay	" " 7	- Paid into bank 10,000/-
pay	" " 10	- Paid for postage 200/-
pay	" " 12	- Paid for wages 100/-
Re	" " 15	- Received interest on investments 200/-
pay	" " 25	- Cash purchases 3000/-
Re	" " 27	- Cash sales 2400/-
Re	" " 28	- Received from sunil 1100/-
pay	" " 30	- Deposited into Bank All cash in excess EXCESS of 1000/-

Single Column Cash A/c Book

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Date	particulars	LF	Am't (₹)	Date	particulars	LF	Am't (₹)
2020 Jan 1	To opening Balance		5100	2020 Jan 7	By Bank A/c		19000
Jan 3	To sales A/c		5600	Jan 10	By Postage A/c		200
Jan 5	To vignay A/c		800	Jan 12	By wages A/c		100
Jan 15	To invest A/c		200	Jan 25	By purchases A/c		3000
Jan 27	To sales A/c		2400	Jan 30	By Bank A/c (Bal fig)		900
Jan 28	To sunil A/c		1100	Jan 31	By Balance c/d		1000
			<u>15,200</u>				<u>15,200</u>
Feb 1	To Balance b/d		1000				

* Double Column Cash Book.

The cash book which contains columns for cash and discount (or) Bank and Discount is called Double column cashbook.

Following are the kinds of Double column cashbook:

- cash book with cash and Discount columns
- cashbook with Bank and Discount columns

• It is also called as Two column Cash Book.

* Enter the following transactions in the Double column Cash Book of Mr. Rajesh. 2019, April 1st

- Re 2019 Apr 1 — cash in hand 10000/-
- Re " " 3 — Made cash sale 7500/-
- Re " 5 — Received 15,000/- from paramesh and allowed discount 40/-
- Re " 6 — Loan taken from Mr. Kasthik 4000/-
- Pay " 9 — Paid shalini 7950/- in full settlement of her Debit 8000/-
- Pay " 15 — paid salaries 9000/-, Rent 2000/-
- pay " 20 — purchased furniture from Jain and Co for Cash 7000/-
- pay " 26 — paid Sridhar 780/- in full settlement of account 800/-
- pay " 30 — Drew for personal use 9000/-

D8

Double column Cash Book

C8

Date	Particulars	Disc	Cash	Date	Particulars	Disc	Cash
2019 Apr 1	To opening Balance		10000	Apr 9	To shalini A/c	50	7950
Apr 3	To sales A/c		7500	Apr 15	To salaries A/c		9000
Apr 5	To paramesh A/c	40	15000	Apr 15	To Rent A/c		2000
Apr 6	To Mr. kasthik loan A/c		4000	Apr 20	To Jain & Co A/c		7000
				Apr 26	To Sridhar A/c	20	780
				Apr 30	To Drawings A/c		9000
				Apr 30	To Balance c/d (Bal fig)		770
		40	36,500			70	36,500
May 1	To Balance b/d		770				

* Enter the following transactions in ^{cash book with} Bank and

Discount columns of ~~Double column cash book~~ of
M. Agarwal. all cash receipts are promptly deposited
into bank and all payments are made by
Issuing cheques.

Re	2019 Jan 1	- Balance at bank 16,000/-
	" 2	- Received cheque from sham 2700/-
Re	" 3	- Bought furniture 6000/-
pay	" 4	- Bought fans 450/-
pay	" 5	- Paid salary 300/-
pay	" 6	- paid to shahani 990/- discount allowed by him 50/-
Re	" 7	- Received cheque from Ruby 1000/-
pay	" 8	- Paid insurance premium 1000/-
Re	" 9	- Received a cheque from Ram for 1800/- in full settlement of Account 2000/-
pay	" 10	- Commission charged by bank 50/-
Re	" 11	- Received cheque from g zaved 4500 4050/- and allowed him discount 1000/-
pay	" 16	- purchased by cheque 5000/-
Re	" 18	- Cash sales 10,000/-
pay	" 19	- Paid tax 2000/-
pay	" 30	- paid salaries 2500/-
Re	" 31	- Interest <u>allowed</u> by bank 1000/- ₂₁₀₀₀

Balance c/d - 18,260

Total - 36,550

Dr

Double column Cash Book

Cr

Date	particulars	If discount	Bank	Date	particulars	If discount	Bank
2019 Jan 1	To opening Balance		16,000	Jan 3	By furniture A/c		6000
Jan 2	To sham A/c		2700	Jan 4	By Fans A/c		450
Jan 7	To Ruby A/c		1000	Jan 5	By salary A/c		300
Jan 9	To Ram A/c	200	1800	Jan 6	By shahani A/c	50	990
Jan 11	To zaved A/c	1000	4050	Jan 8	By insurance premium		1000
Jan 18	To sales A/c		10000	Jan 10	By commission A/c		50
Jan 31	To interest A/c		1000	Jan 16	By purchases A/c		5000
				Jan 19	By tax A/c		2000
				Jan 30	By salaries A/c		2500
				Jan 31	By Balance c/d		18,260
		1200	36,550				
Feb 1	To Balance b/d		18,260			50	36,550

* Triple column cash book:

Triple column cash book consists of 3 columns discount, cash, Bank. The 'C' indicates contraentry which means the entry posted in both debit and credit sides of the cash book.

contraentry - 1) ^{Cash} Deposited into Bank

Bank A/c --- Dr

To ^{Cash} Cash A/c

2) Cash withdraw for office use

Cash A/c --- Dr

To Bank A/c

3) If cheque/cash received and Deposited on same date, contraentry will not come.

LF
C
C

* From the following transactions prepare a Triple column cash book.

Re	2019 Apr 1	- Balance in hand 415/-
Re		Balance at bank 2530/-
Pay	" 2	- Paid wages by cheque 950/-
Pay	3	- Cash purchases 150/-
Re	13	- Received cheque from Krishna 530/- , allowed him discount 20/-
Pay	16	- Payment made by cheque to Mohan 400/-, discount allowed by him 15/-
Re	18	- Cash sales 150/-
Pay	20	- Furniture purchased and paid by cheque 300/-
Re	22	- Bank <u>credited</u> ^{₹ 2000} interest 200/- , allowed him discount 10/-
C	30	- Cash deposited into bank - 300/-

Dr

Triple Column Cash Book

Date	Particulars	L.F	Discount	Cash	Bank	Date	Particulars	L.F	Discount	Cash	Bank
2019 Apr 1	To opening Balance				2530	Apr 2	By wages A/c				950
Apr 13	To Krishna A/c		20		530	Apr 3	By purchases A/c			150	
Apr 18	To Sales A/c			150		Apr 16	By Mohan A/c		15		400
Apr 22	To ^{interest} Bank A/c		10		200	Apr 20	By Furniture A/c				300
Apr 30	To cash A/c				300	Apr 30	By Bank A/c			300	1000
						Apr 30	By Balance c/d			115	1910
										365	3560
										15	
May 1	To Balance b/d				1910						

* From the following transactions prepare Three column Cash book

- 2020 Jul 1 - Cash in hand 5000/- , Bank overdraft
balance 2000/-
- Jul 3 - purchased goods for cash 3000/-
- " 5 - Furniture purchased for office use from
Rajesh 5000/-
- " 8 - Sold goods for cash 10,000/- of which
8000/- paid into bank.
- " 10 - paid to Rajesh by cheque 4900/- and
discount received from him 100/-
- " 14 - cash received from Ramu 8400/- and
discount allowed to him - 200/-
- " 16 - Cash paid into bank 10,000/-
- " 24 - Cash withdraw from bank for office use 8000/-
- " 30 - ~~Draw~~ ^{Drew} from bank for personal use - 2000/-

Dr

Triple column Cash Book

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Date	Particulars	LF	Discount	Cash	Bank	Date	Particulars	LF	Discount	Cash	Bank
2020 Jul 1	To Balance b/d (opening balance)		-	5000	-	Jul 1	By Balance b/d (opening balance)		-	-	2000
Jul 8	To sales A/c		-	2000	2000	Jul 3	By purchases A/c		-	3000	-
Jul 14	To Ramu A/c		200	8400	-	Jul 10	By Rajesh A/c		100	-	4900
Jul 16	To cash A/c	C	-	-	10000	Jul 16	By Bank A/c	C	-	10000	-
Jul 24	To Bank A/c	C	-	8000	-	Jul 24	By cash A/c	C	-	-	8000
						Jul 30	By Drawings A/c		-	-	2000
						Jul 31	By Balance c/d			10400	1100
			200	23400	18000				100	23400	18000
Aug 1	To Balance b/d			10400	1100						

- * Dec 2021
- Dec 1 - Cash in hand 1800/- , cash at bank 13000/-
- Dec 2 - Paid into bank 500/-
- 6 - Bought goods from cheque 1300/-
- 7 - purchased furniture for cash 400/-
- 9 - Received cash from sham 790/- ,
discount allowed 10/-
- 12 - Draw from bank for office use 400/-
- 13 - Received from prakash cheque 1600/- ,
discount allowed 20/-
- 15 - cheque of prakash returned by bank
of dishonour, ~~1600/-~~
Bounce back

Total- cash - 2990
Bank - 14100
c/d - ~~1600~~
cash - 2090
Bank - 11800

Dr

Tiple column cash Book

Date	particulars	lf	Disant	Cash	Bank	date	particulars	lf	Disant	Cash	Bank
2021 Dec 1	To opening balance			1800	13000	Dec 1 Dec 2	By Bank A/c	C		500	
Dec 2	To Cash A/c		C		500	Dec 2	By Bank ^{Purchase} A/c			500	1300
Dec 9	To sham A/c		10	790		Dec 7	By purchase furniture A/c			400	
Dec 12	To Bank ^{Bank} purchase A/c		C	400		Dec 12	By Cash A/c	C			400
Dec 13	To prakash A/c		20		1600	Dec 15	By prakash A/c				1600
			30	2990	15100	Dec 31	By Balance b/d			2090	11800
Jan 1	To Balance b/d			2090	11800					2990	15100

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* Petty Cashbook:

The word petty means small. It is used to record very small expenses that are frequent in nature.

Types of Petty Cashbook:

1. Simple petty cashbook
2. Analytical petty cashbook
3. Imprest system of petty cashbook.

* Enter the following transactions in simple petty cashbook

2019 Jun 1 - Received cheque 1000/- to open the book

" 3 - Bought postage stamp 40/-

" 6 - Good a telegram 90/-

" 7 - paid for cartage 120/-

" 12 - purchase paperclip 30/-

" 15 - paid auto charge for the sales man 240/-

" 17 - paid for stationary 180/-

" 25 - paid for tiffin charges 50/-

" 28 - Balance due to navesh paid 220/-

Simple Petty Cash Book

Amount received	Date	Particulars	V. NO	L F	Amount
1000	2019 Jan 1	To opening balance			
	Jan 3	By Postage A/c			40
	Jan 6	By Telegram A/c			90
	Jan 7	By cartage A/c			120
	Jan 12	By paper clips A/c			30
	Jan 15	By Auto charges A/c			240
	Jan 17	By stationery A/c			180
	Jan 25	By Tiffin charges A/c			50
	Jan 28	By Navesh A/c			220
	Jan 31	By Balance c/d			30
1000					1000
30	Feb 1	To Balance b/d			

* Enter the following transactions into analytical petty cash book

- 2019 Apr 1 - Received cheque towards petty cash 500/-
- " 4 - paid cartage on goods 30/-
- " 6 - paid Auto charges 35/-
- " 9 - paid postage and telegrams 60/-
- " 12 - paid for stationery 70/-
- " 14 - paid for wages 80/-
- " 17 - paid for postage 30/-
- " 20 - paid for repairs 40/-
- " 23 - paid refreshments to customers - 30/-
- " 25 - paid for coolie 50/-
- " 28 - paid for train fare - 40/-

Columns -

cartages/coolie

Travelling Expenses - Auto charges, train fares

postage / telegram

stationary - pen, book etc

Sundry Expenses - repairs, refreshments

Amount Received	Date	Particulars	V.N.O.	Total Amount	Costages & Carriage Exp	Travelling Exp	Postage & Telegram	Stationary	wages	Sundry Expenses
500	2019 Apr 1	To opening balance								
	Apr 4	By Castage A/c		30	30					
	Apr 6	By Autocharges A/c		35		35				
	Apr 9	By postage A/c		60			60			
	Apr 12	By stationery A/c		70				70		
	Apr 14	By wages A/c		80					80	
	Apr 17	By postage A/c		30			30			
	Apr 20	By Repairs A/c		40						40
	Apr 23	By Refreshment A/c		30						30
	Apr 25	By coolie A/c		50	50					
	Apr 28	By train charges A/c		40		40				
	Apr 30	By Balance c/d		35						
500 500 35	May 1	To Balance b/d		465	80	75	40	70	80	70